META - Meta Platforms | Post-Q2 2026 Deep Dive

Full investment research | Model assumptions and source evidence

Framework: v8.0; existing 20× valuation method retained
Status: Current through October 7, 2026; Q2 earnings, September product releases and consumer-agent economics reviewed
Snapshot: Q2 2026 revenue **$60.801B**; reported operating profit **$18.775B**; diluted shares **2.566B**
Valuation convention: 20× forward-four-quarter operating profit / 2.56B diluted shares
Artifact analytical Base: 80/100. Protected portfolio Excel Base: **99**, unchanged.
Active-horizon ceiling (Q4 2027): $960.25/share; Q4 2027-Q3 2028 earnings window. The same-window change from $961.02 is -$0.76, about -0.08%.

Investment conclusion

Meta's quarter was better than the headline earnings decline suggests. The advertising engine accelerated to 28% revenue growth while two non-core items-$2.4B of legal expense and $1.18B of severance-reduced reported operating profit by $3.58B. Excluding only those disclosed charges, operating profit would have been about $22.36B and margin about 36.8%, versus the reported 31%.

That does not make the spending risk imaginary. Meta is converting a highly cash-generative advertising franchise into an infrastructure-heavy AI platform at extraordinary speed. The central investment question is no longer whether AI improves engagement and ad conversion; management supplied credible evidence that it does. The question is whether the incremental profit generated by recommendations, creative tools, business agents and new compute products will outrun depreciation, energy, cloud and legal costs.

Our answer is **yes in the existing operating forecast**, with a small explicitly costed consumer-agent contribution now included. We use a 20× operating-profit multiple, the standing default applied uniformly across the mega-cap platform names. Meta's stronger core advertising growth and incremental margins are reflected in the Base score rather than in a valuation premium, and Reality Labs losses, litigation, platform regulation and the uncertain return on the AI buildout all argue against a premium in any case.

What changed after earnings

Q2 2026	Reported		Underlying read-through
Revenue		$60.801B	+28% y/y; strongest evidence that AI recommendations and ad tools are monetizing
Advertising revenue		$59.363B	+27%; impressions +14%, price per ad +12%
Family of Apps operating profit		$23.394B	The core franchise remains exceptionally profitable
Reality Labs operating loss	$(4.619)B		Still a persistent consolidated-margin drag
Consolidated operating profit		$18.775B	Includes $3.58B of disclosed legal and severance charges
Reported operating margin		31.0%	Underlying margin was about 36.8% excluding those charges
Capital expenditures		$31.080B	The AI buildout is now a balance-sheet and cash-flow variable
Free cash flow		$0.784B	Depressed by capex and working-capital timing; not a useful run-rate

The revenue guide for Q3 is $61B-$64B. We model the $62.5B midpoint. Full-year expense guidance is $165B-$169B, capex is $130B-$145B, and management still expects 2026 operating income to exceed 2025's $83.276B despite the charges. This creates a useful downside boundary: the company is not guiding to an earnings collapse even while

maximizing near-term capacity.

AH-11 decomposed model

1. Family of Apps advertising

The primary vector is no longer merely user growth. Daily active people rose only 3% to 3.60B, while ad impressions increased 14% and price per ad increased 12%. The model therefore treats monetization density, recommendation quality, advertiser conversion and short-form video load as the main revenue drivers.

Management disclosed several measurable AI effects:

- Advantage+ reached an annual revenue run-rate above $75B.
- Meta Generative Recommender pilots increased Instagram app-event conversions by 1%.
- GEM and related models increased Facebook ad clicks by 8.3% and conversions by 15.7%.
- More than 9M small businesses use Meta's generative creative tools.

These are production metrics, not a distant AI TAM claim. They justify sustained high-teens revenue growth after 2026, followed by gradual normalization.

2. Messaging, subscriptions and business agents

Meta Business Agents are globally available and used weekly by more than 1M businesses. Existing business-agent and messaging growth is embedded in Family of Apps other revenue and ad conversion. September's Muse consumer product receives the separate, overlap-adjusted contribution below. The small-business release uses the same subscriptions and infrastructure; it does not receive a second paid-seat pool.

3. Meta AI and compute

Meta AI daily interactions increased about 60% after Muse. Management described possible API, agent and compute sales, and said compute could be offered at a significant premium to Meta's cost. External compute monetization competes for capacity with Meta's own products. A 40% probability of commercial activity does not create an additional valuation increment here: the existing long-run consolidated model already embeds compute monetization, and no incremental customer volume can be separated from that pool. The overlap allocation for this scope is 100%; this is an attribution decision, not a requirement to wait for official confirmation.

4. Reality Labs and AI glasses

AI glasses are the cleanest hardware breadcrumb, but Reality Labs lost $4.619B in the quarter. We assume losses remain substantial through 2028 and improve only gradually. No terminal-value credit is assigned to VR, the metaverse or glasses beyond their contribution to engagement and ecosystem defense.

Consumer agents: a commercial product with a real service bill

The September 8 Muse launch, September 24 Connect announcements and September 29 small-business release establish a product and distribution path. They do not establish retained users or a profitable mature cohort. Muse can act through connected services, with permissions and payment controls. Shopping integrations create a possible transaction wallet; gross merchandise value is not Meta revenue.

Meta's help page lists Power at $20/month and Maximum at $100/month, with a free tier and limited geographic testing. The $16/$80 receipt equivalents used below are an explicit 20% realization haircut for channel fees, discounts and collection, not verified published web prices. The issuer's public page did not substantiate the bank's claimed discounted web prices.

A dedicated virtual machine is a security and state-management boundary, not a permanently dedicated physical processor. CPU scheduling, cache policy, memory residency and usage mix determine the fleet cost. It is also wrong to assume that a memory allocation is free whenever the CPU is idle. The original engineering cost estimates separate storage allocation,

memory concurrency, CPU concurrency and AI inference.

The September 25 Deutsche Bank report is a scenario source, not issuer guidance. Its reported 3m US downloads over sixteen days are downloads, not monthly retained users. Its 2030 scenarios are not directly added to the existing model. The middle-case table mixes rounded tier percentages that sum to 101%; its implied underlying mix is approximately 89.5%/7%/3.5%. The low case's printed Power user count is inconsistent with its printed tier percentage. The adopted model uses a fresh, explicit 94%/5%/1% mix instead of silently carrying those errors forward.

Probability, bounded users and revenue

We assign 30% probability to the commercial cohort path below. The limited launch, known subscription prices and distribution support nonzero probability; unknown retention, shopping conversion and paid penetration keep it below a mature-production probability. Conditional active users average 10m/12m/14m/16m over Q4 2027-Q3 2028. The near-window sensitivity range is 5m-25m users. The longer path reaches 34m in Q4 2030; it is a model adoption proxy, not a disclosed customer count. The remaining 70% has no incremental contribution beyond the existing reference model.

Annual revenue per conditional active user is $19.20 net subscriptions + $30 commerce + $3 payments = $52.20. Subscription receipts are 12×(5%×$20 + 1%×$100)×80%. Commerce is $6,000 annual GMV×25% monetizable share×2% take rate. Payments are the same GMV×5 basis points net spread. The two transaction charges represent distinct assumed net receipts; if commerce economics already include payment spread, the $3 must be removed. GMV, attach rate and take rate are uncontracted proxies. No deposit-float or private-conversation advertising revenue is added. Meta states that Muse conversations and VM data are not shared with its advertising systems.

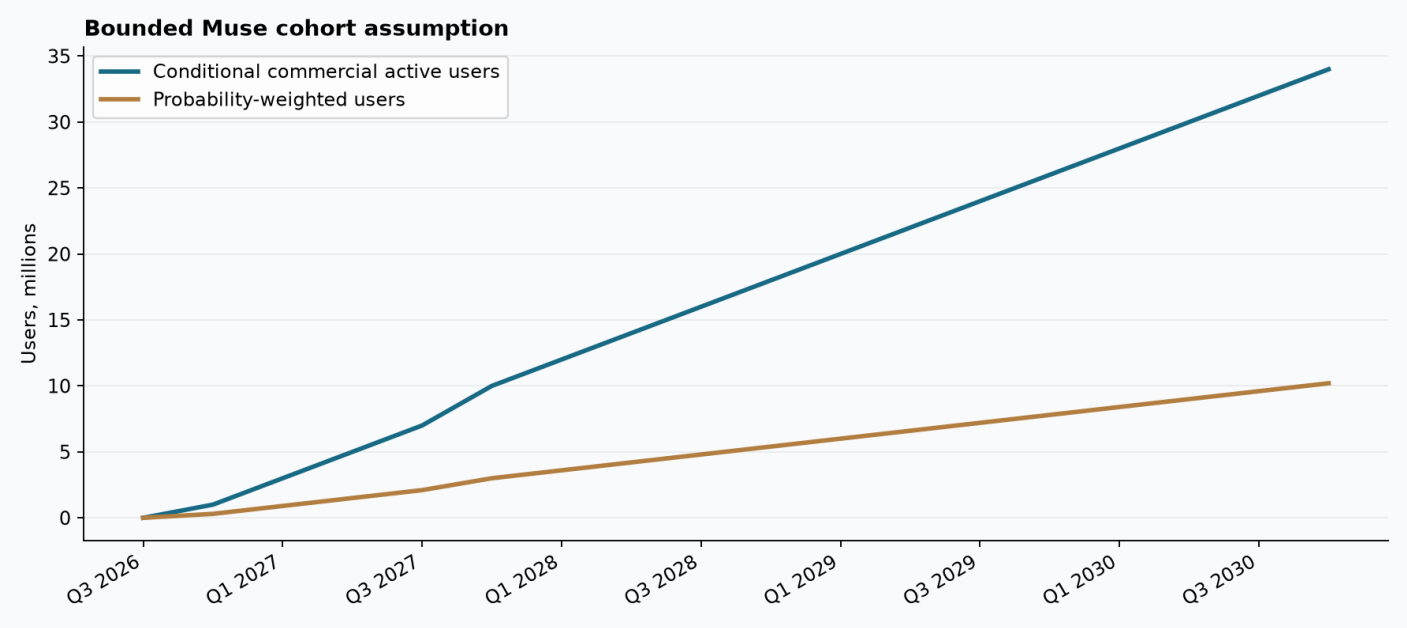
Cost, overlap and funding

The bank's monthly service-cost proxies are $5.43 free, $35.05 Power and $165.90 Maximum. At the adopted tier mix these imply $102.1884 per active user per year. The estimates include infrastructure depreciation and inference; they are not announced Meta expenses. Heavy paid users can be less profitable than casual free users if included token allowances are consumed. Routing and caching can improve this cost, while sustained background agents can worsen it.

Both revenue and cost receive a 50% overlap deduction because the inherited consolidated forecast already anticipates AI monetization and spending. This symmetric allocation is an explicit low-confidence proxy; it avoids adding all new revenue while assuming all cost was already budgeted. The Q4 2027-Q3 2028 conditional receipts are $678.6m and costs $1,328.4492m before probability/overlap. After both adjustments they are $101.79m and $199.26738m, reducing F4Q OP by $97.47738m and the ceiling by $0.761542. More adoption under these unit costs is initially a larger subsidy, not automatically a higher target.

Allocated initial hardware capex is $25.2874 per conditional user, derived from the source's $24.36/$37.30/$52.40 tier proxies. It is incurred as users are added; 66-month depreciation is already in the service-cost estimate and is not charged twice. The probability- and overlap-adjusted incremental capex through Q4 2030 is about $129m. This narrow overlay is small relative to June cash/securities of $90.26bn and existing annual capex guidance of $130-145bn. It does not require additional modeled equity or debt. That is an incremental funding test, not a claim that all of Meta's undisclosed future infrastructure commitments are costless or already financed. The sanctioned share schedule and absence of a separate net-cash valuation credit are preserved.

For the active window, setting both overlaps to zero gives about -$1.52/share. Zero revenue overlap and 75% cost overlap give about +$0.81; 75% revenue overlap and zero cost overlap give about -$2.72. These sensitivities show why the allocation matters more than the precision of a download count. They are alternative assumptions, not independently additive shocks.



Conditional user adoption and its 30% probability weight. No dedicated physical GPU per user is assumed.

Quarter	Conditional users (m)	Weighted net revenue	Weighted net cost	Weighted OP	Incremental capex
Q3 2026	0	0.00	0.00	0.00	0.00
Q4 2026	1	1.96	3.83	-1.87	3.79
Q1 2027	3	5.87	11.50	-5.62	7.59
Q2 2027	5	9.79	19.16	-9.37	7.59
Q3 2027	7	13.70	26.82	-13.12	7.59
Q4 2027	10	19.57	38.32	-18.75	11.38
Q1 2028	12	23.49	45.98	-22.49	7.59
Q2 2028	14	27.41	53.65	-26.24	7.59
Q3 2028	16	31.32	61.31	-29.99	7.59
Q4 2028	18	35.23	68.98	-33.74	7.59
Q1 2029	20	39.15	76.64	-37.49	7.59
Q2 2029	22	43.07	84.31	-41.24	7.59
Q3 2029	24	46.98	91.97	-44.99	7.59
Q4 2029	26	50.90	99.63	-48.74	7.59
Q1 2030	28	54.81	107.30	-52.49	7.59
Q2 2030	30	58.72	114.96	-56.24	7.59
Q3 2030	32	62.64	122.63	-59.99	7.59
Q4 2030	34	66.56	130.29	-63.74	7.59

Scope decisions and the next evidence

Small-business agents have a 40% commercial-adoption probability but 100% overlap with the shared consumer subscriptions and existing business-agent revenue pool for this update: no second seat count is created. External compute has a 40% commercial probability but no identified incremental capacity after internal opportunity cost and the inherited compute contribution; its additional modeled amount is zero. AI glasses and Charm are reviewed product catalysts, with no extra profit above the existing Reality Labs/engagement forecast. A 50% probability of stronger glasses adoption does not itself identify incremental gross profit net of hardware and development cost, so the already-modeled scope remains fully overlapped. These zeros reflect scope and economics, not lack of official confirmation alone.

The useful next evidence is retained commercial users, paid-tier conversion, net receipts, shopping conversion, inference cost per completed task, and the degree to which usage fills already-budgeted idle capacity. A company disclosure of these quantities should replace the corresponding proxy. Free usage growth without better cost per task can lower earnings even while strengthening product adoption.

25 September 2026
Internet
Meta

Figure 3: Meta could benefit significantly from its first-mover advantage within the Consumer AgenticAI space… the robust initial download trajectory appears to imply very strong product market fit right out of the gate, and Meta has the advantage of having a platform that caters to >200mn DAUs in the US alone

	2030 Scenarios			
	A	B	C	Comments
Users				
Meta Family of Apps DAUs	3,600	3,600	3,600	Actuals, as of 2Q26
(x) % in the US	6%	6%	6%	
(=) Meta Users in the US	216	216	216	Was 205mn in 2023/2024… Likely has grown modestly since then
(x) % Muse Adoption	15%	25%	35%	DB Assumption
(=) Muse Users	32.4	54.0	75.6	
% of Meta FoA DAUs	0.9%	1.5%	2.1%	
User Distribution by Scenario	Free	Power	Maximum	
A	94%	4%	2%	DB Assumption: Based on Scenario C having the most extensive usage,
B	90%	7%	4%	with broader consumer acceptance of AgenticAI solutions that also
C	85%	10%	5%	lends itself to higher proportion of power-users

Source : US Census Bureau; US Department of Labor; Deutsche Bank

Then, we turn to the potential addressable opportunity associated with Meta taking a small cut of the transactions Muse facilitates. We look at the US retail sales from the lens of the US Census Bureau's data for 2025, and US services spend using the personal consumption expenditures annualized as of 2Q26. Then we roll forward the spend to 2030, assuming 3.5% annual inflation in each vertical. Across each category we then assess the potential AgenticAI opportunity, which we estimate aggregates to $2.5-$5.5tn. The largest opportunity, in our view, is within the spend that is already online (e-commerce), where we think AgenticAI could potentially represent upward of 50% of the entire spend.

Deutsche Bank Securities Inc. Page 5

Original Deutsche Bank September 25 scenario, page 5. Third-party assumptions and printed inconsistencies are discussed above; this is not the adopted forecast.

course, Meta/Muse could also pass some of the payment processing savings back to consumers to ultimately stimulate more commercial activity.

Down the road, we could see potential additional benefits to Meta's advertising revenue from 1) Search advertising within Muse's results, 2) if the users allow Meta to share the data within the larger organization, then that could result in improved targeting/ROAS for the core discovery platforms, and 3) the feed page within Muse itself could become a surface for placing highly targeted advertising that's immediately relevant for consumers.

Figure 5: We see the potential for Muse to represent ~MSD% of Meta's 2030 revenue (HSD in the upside scenario)

	2030 Scenarios			
	A	B	C	Comments
Subscription Revenue				
Power Users	2.2	3.8	7.6	
(x) Monthly Subscription fee/User	$20.00	$20.00	$20.00	Web-based pricing is $16/mo
(=) Annual Subscription Revenue	$518	$907	$1,814	
Maximum Users	0.6	1.9	3.8	
(x) Monthly Subscription fee/User	$100.00	$100.00	$100.00	Web-based pricing is $80/mo
(=) Annual Subscription Revenue	$778	$2,268	$4,536	
Total Subscription Revenue	$1,296	$3,175	$6,350	
Transaction Fees				
Goods & Services Sales in the US	$27,443,049	$27,443,049	$27,443,049	Per US Census Bureau Retail Sales + Personal Consumption Expenditures (PCE) for Services...
(x) % Addressable by AI Agents	9.6%	14.9%	20.1%	Including 3.5%/year inflation through 2030
(=) Addressable Market for AI Agents	$2,643,208	$4,082,974	$5,522,740	Based on DB assumptions
(x) Muse Market Share	8%	13%	18%	DB Assumption: Could be higher especially if a significant portion of the
(=) Muse Addressable GMV	$198,241	$510,372	$966,479	US households use AgenticAI, and Meta is the leader among Consumers
(x) Muse Active partnerships	25%	40%	60%	DB Assumption: Some vendors may hold off on partnering with Muse, which could reduce
(=) Muse Partnership GMV	$49,560	$204,149	$579,888	Muse's transaction fee revenue
(x) Muse Take Rate	2%	4%	5%	DB Assumption, excluding potential interchange spread share
(=) Transaction Revenue	$991	$7,145	$28,994	
Implied Transaction GMV on Muse per User	$6,119	$9,451	$12,784	
Interchange Spread				
Addressable Market for AI Agents	$2,643,208	$4,082,974	$5,522,740	From above
(x) Muse Market Share	8%	13%	18%	From above
(=) Muse GMV	$198,241	$510,372	$966,479	
(x) Muse Take Rate	0.05%	0.08%	0.10%	Muse's share of Interchange spread at 5-10bps of the transaction value
(=) Interchange Spread	$99	$383	$966	
Muse Revenue				
Subscription	$1,296	$3,175	$6,350	
(+) Transaction fees	991	7,145	28,994	
(+) Interchange Spread	99	383	966	
(=) Total Muse Revenue	$2,386	$10,703	$36,311	Excludes the potential for interest income on Muse Wallet balances
(/) Meta Revenue, FY30E	$466,360	$466,360	$466,360	Consensus, per Bloomberg
(=) % of Meta 2030E Revenue	0.5%	2.3%	7.8%	

Source : US Census Bureau; US Department of Labor; Deutsche Bank

On the costs side of the equation, we start by looking at the two key components of costs. The first is the cost of provisioning a virtual machine (VM) for each user, which falls under four sub-heads a) the capex associated with provisioning 8GB of DRAM, b) capex on 100GB of NAND storage for each VM, c) cost of compute, which will also be a capital expenditure, and for all of these, we then estimate a depreciation cost per month assuming the assets depreciate over 66 months, and d) the ongoing operating cost of running and maintaining data centers. In aggregate, we estimate the monthly base cost of the VM at ~$3.50-$6.50 per user.

The second element of the costs would be variable, based on the number of tokens consumed. In our analysis, we have assumed that Meta has set the pricing based on its cost of a mix of models (from simple to complex/frontier) that the agents likely will choose based on the specific task they are charged with. Our analysis suggests an all-in cost of ~$5/mo for the Free users, ~$35 for Power users, and ~$165 for the Maximum tier subscribers. That said, we think over time, the company could adjust token limits across all offerings. This appears to be industry common practice, with

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this "shrinkflation" observed across all other competing leading labs, which could both reduce costs and offer Meta more opportunity to upsell users into higher subscription tiers.

Figure 6: Monthly Service Cost per User varies by Usage Tier

	Free	Power	Maximum	Comments
Monthly Base Cost per User				
Capex				
Memory (DRAM)				
DDR5 Memory in GBs	8	8	8	DB assumption
Cost per GB	$9.00	$10.00	$11.00	DB assumption: Could be lower at the the high volumes Meta may order
Base Cost	$72.00	$80.00	$88.00	
Peak Concurrency	8%	14%	20%	DB assumption: 8-20% oversubscription
Memory Cost	$5.76	$11.20	$17.60	
Storage (NAND)				
Storage QLC SSD/TLC in GBs	100	100	100	DB assumption
Cost per GB	$0.12	$0.12	$0.16	DB assumption: Roughly translates into $120-$160 per TB
Base Cost	$12.00	$12.00	$16.00	
Peak Concurrency	30%	30%	30%	DB assumption: 30% oversubscription
Storage Cost	$3.60	$3.60	$4.80	
Compute (CPU) | 2 vCPU (Oversubscribed) | Custom Silicon (MTIA/Arm)				
Number of vCPUs on Oversubscribed Basis	2	2	2	DB assumption
Cost per vCPU	$150.00	$150.00	$150.00	DB assumption: typical per die/package manufacturing cost
Base Cost	$300.00	$300.00	$300.00	
Peak Concurrency	5%	8%	10%	DB assumption: 5-10% oversubscription
Compute Cost	$15.00	$22.50	$30.00	
Total Capex	$24.36	$37.30	$52.40	
D&A Period (In Months)	66	66	66	Based on Meta's average depreciation period of 5.5 years
D&A per Month	$0.37	$0.57	$0.79	
Opex				
Overhead allocated... Power, Networking, etc	$3.00	$3.50	$4.00	DB assumption
Monthly Base Cost per User	$3.37	$4.07	$4.79	
Inference Costs per Month	$400.00	$2,000.00		
Maximum Tokens allowed per week (In Millions)	100	500	3,000	
(x) Number of Weeks per Month... Ballpark	4	4	4	
(x) % utilization of tokens	5%	15%	13%	
(=) Millions of Tokens Consumed per Month	22	326	1,696	DB assumption: Based on the max allowed for each tier... actual usage will be lower on average
(x) Inference Cost per Million Tokens	$0.10	$0.10	$0.10	DB assumption: We used the retail price for different models, and applied a gross margin
(=) Monthly Inference Cost per User	$2.07	$30.98	$161.10	assumption to estimate Meta's cost per token
Monthly Service Cost per User				
Monthly Base Cost	$3.37	$4.07	$4.79	
(+) Inference Costs	2.07	30.98	161.10	
(=) Monthly Service Cost per User	$5.43	$35.05	$165.90	

Source : Deutsche Bank

Quick Thoughts on the Potential Implications to Our Broader Coverage

While the initial Muse announcements have focused on commerce, grocery and travel, we believe the broader implication is that AI agents could become another demand aggregation layer sitting between consumers and digital platforms. The impact is likely to vary based on three factors: (1) whether a company owns differentiated inventory versus differentiated discovery, (2) how dependent it already is on paid customer acquisition, and (3) whether management elects to block agents, allow agent access, or establish a formal partnership. Lastly, companies whose value proposition relies on monetizing friction may face greater risk.

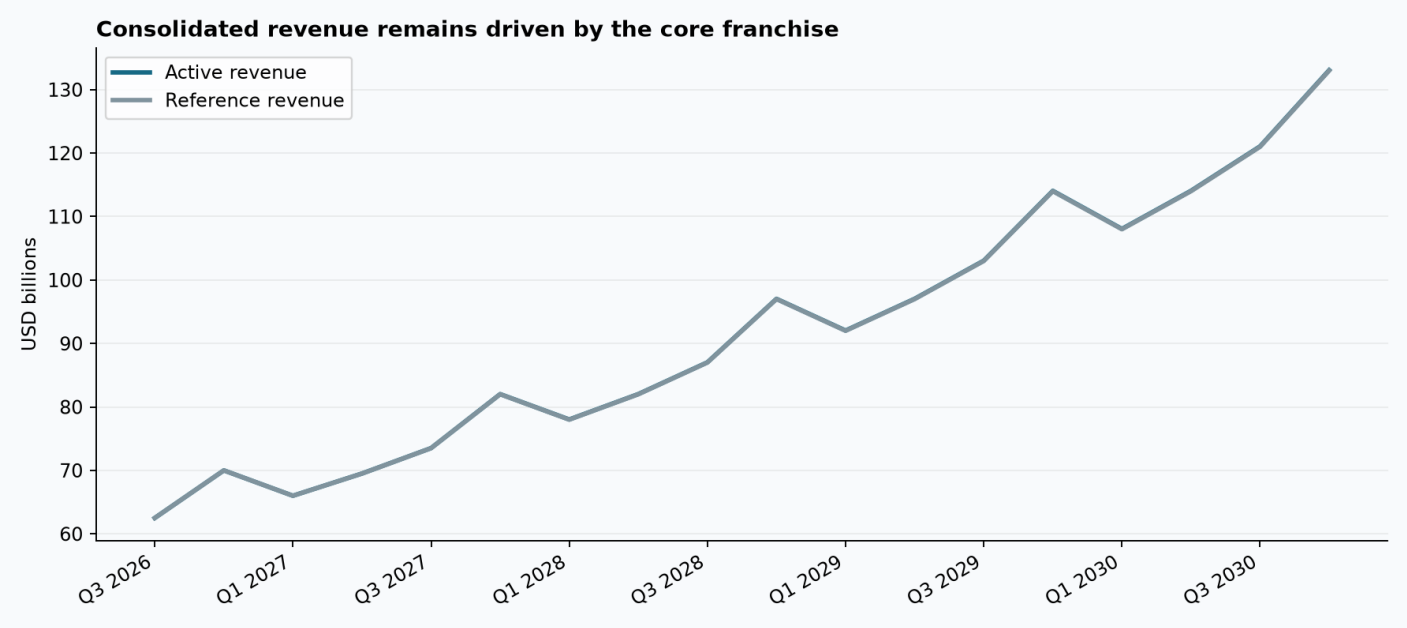
Over time, we see three potential strategic responses emerging:

- **Block** agents to preserve the direct customer relationship.
- **Allow** agent access through existing websites and workflows.
- **Form active partnerships** that provide structured inventory, payments, fulfillment and servicing capabilities in exchange for distribution.

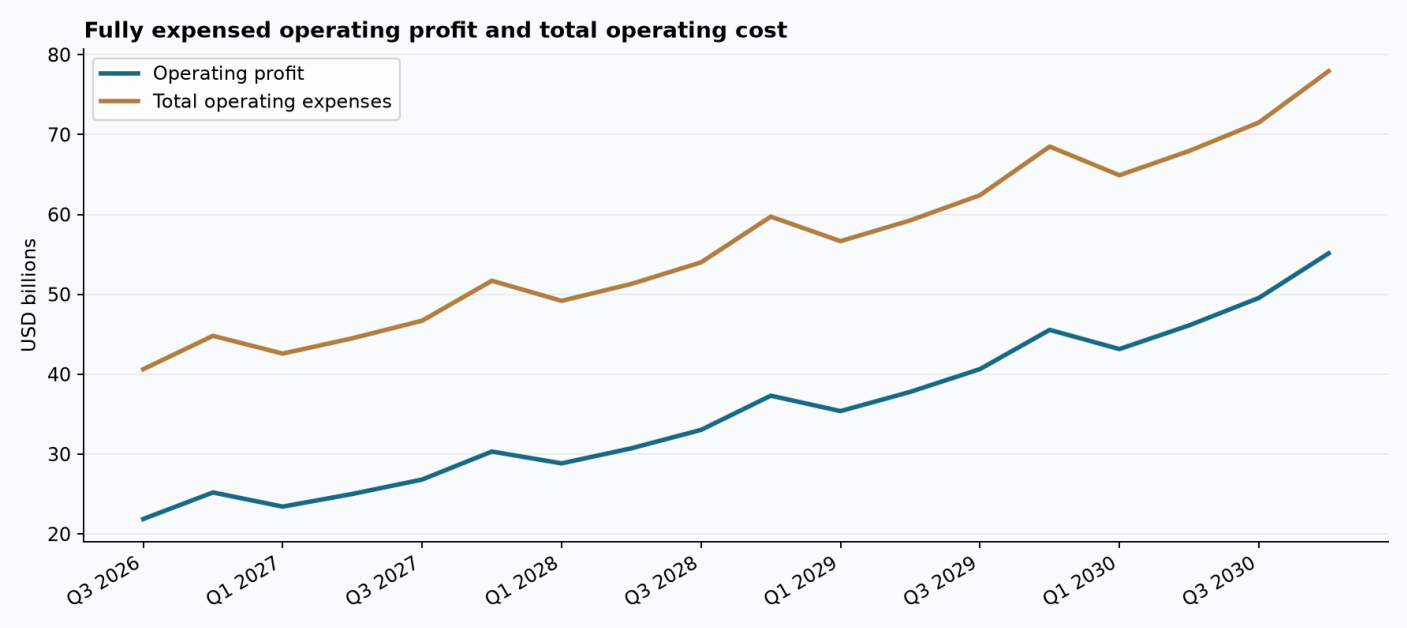
Original Deutsche Bank September 25 scenario, page 8. Third-party assumptions and printed inconsistencies are discussed above; this is not the adopted forecast.

Quarterly operating model

USD millions except shares and per-share ceilings. Operating expenses include cost of revenue, R&D, sales, administration, depreciation and SBC; they are not an EBITDA measure. Existing reference revenue, operating margins, 2,560m valuation shares and 20× multiple are retained.



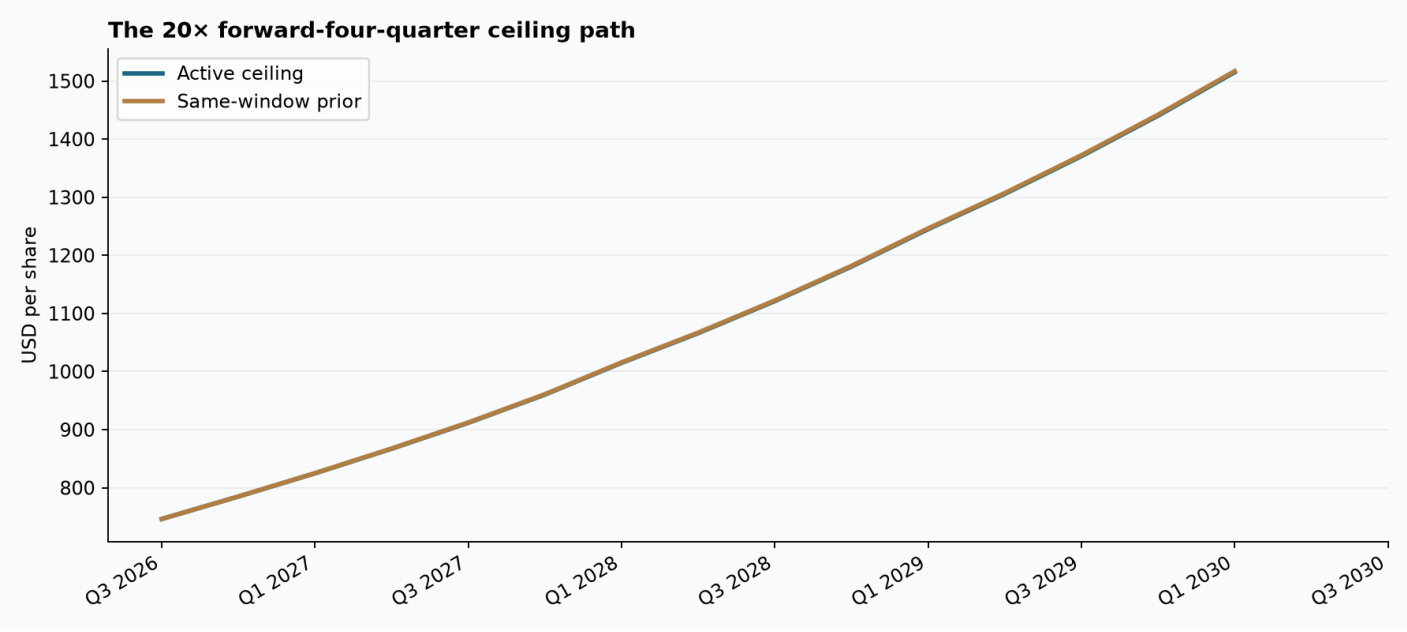
The small net Muse overlay is difficult to distinguish at consolidated scale; the exact incremental schedule follows.



Operating profit equals revenue less all operating expenses. No separate profit credit is taken for capex or avoided depreciation.

Quarter	Revenue	Total operating expenses	Operating profit	F4Q OP	Ceiling
Q3 2026	62,500.00	40,625.00	21,875.00	95,508.13	$746.16
Q4 2026	70,001.96	44,803.83	25,198.13	100,447.51	$784.75

Quarter	Revenue	Total operating expenses	Operating profit	F4Q OP	Ceiling
Q1 2027	66,005.87	42,581.50	23,424.38	105,570.64	$824.77
Q2 2027	69,509.79	44,499.16	25,010.63	110,983.76	$867.06
Q3 2027	73,513.70	46,699.32	26,814.38	116,696.89	$911.69
Q4 2027	82,019.57	51,698.32	30,321.25	122,912.52	$960.25
Q1 2028	78,023.49	49,185.98	28,837.51	129,902.53	$1,014.86
Q2 2028	82,027.40	51,303.65	30,723.76	136,447.53	$1,066.00
Q3 2028	87,031.32	54,001.31	33,030.01	143,512.53	$1,121.19
Q4 2028	97,035.24	59,723.98	37,311.26	151,122.54	$1,180.64
Q1 2029	92,039.15	56,656.64	35,382.51	159,362.54	$1,245.02
Q2 2029	97,043.07	59,254.31	37,788.76	167,127.54	$1,305.68
Q3 2029	103,046.98	62,406.97	40,640.01	175,452.55	$1,370.72
Q4 2029	114,050.90	68,499.63	45,551.26	184,362.55	$1,440.33
Q1 2030	108,054.81	64,907.30	43,147.51	193,942.55	$1,515.18
Q2 2030	114,058.73	67,944.96	46,113.76	Supporting tail	-
Q3 2030	121,062.64	71,512.63	49,550.01	Supporting tail	-
Q4 2030	133,066.55	77,935.29	55,131.26	Supporting tail	-



Each plotted ceiling uses its labeled quarter plus the next three calendar quarters. Q4 2027 is the active portfolio horizon.

The inherited forecast gradually normalizes advertising growth and assumes improving infrastructure utilization. Those assumptions remain material: the consumer-agent overlay is too small to validate the full consolidated margin expansion by itself.

Analytical Base: 48/60 = 80/100

The analytical score is retained at 80; the protected Excel override remains 99. The current framework presentation maps the existing thesis to Core17/20, Cycle8/10, TAM8/10, Catalysts4/5, Macro8/10, Alpha5/5 and Risk-2. The 48-point total is unchanged. Core strength comes from distribution and measured ad conversion; cycle and TAM reflect broad commercial adoption; product launches support catalysts. Cash generation and flexibility support Macro, differentiated inference economics support Alpha, while spending, governance and litigation warrant the risk deduction. The small Muse economics adjustment does not justify a score change.

What management said across the latest two calls

Q1 established the investment spine: Muse improved Meta AI, contractual infrastructure commitments rose by $107B, and management planned workforce reductions to offset part of the buildout. Q2 converted part of that narrative into operating evidence: recommendation and advertising models produced measurable conversion lifts, business agents reached more than 1M weekly business users, and Meta maximized 2026-2027 capacity while laying foundations for 2028 and beyond.

The call did **not** establish a contracted cloud revenue stream, a quantified return on personal agents, or a path to Reality Labs profitability. These are conditional opportunities. Consumer-agent economics are now explicitly probability weighted; separate cloud receipts retain a zero incremental adjustment because of overlap with the existing forecast.

Risks and falsification tests

The model should be cut if any two of the following persist for two quarters:

1. Ad impressions and price per ad decelerate to low-single digits while expenses remain above 20% growth.
2. Family of Apps operating margin falls below 40% excluding separately disclosed legal or restructuring items.
3. Capex rises above the current range without a corresponding increase in revenue guidance or disclosed contracted compute demand.
4. Meta AI usage grows but business-agent, subscription or API monetization fails to produce disclosed revenue evidence by 2028.
5. Reality Labs losses remain above $5B per quarter while hardware revenue does not scale.
6. Legal judgments or regulation impose structural targeting, distribution or engagement restrictions.

Monitoring dashboard

- Ad impressions and price per ad
- Family of Apps operating margin
- Depreciation and infrastructure operating costs
- Capex and contractual commitments
- Meta AI daily interactions and retention
- Business Agent weekly business users and monetization
- Reality Labs quarterly loss
- Disclosed legal charges and trial outcomes

Sources

- Meta Q2 2026 earnings release
- Meta Q2 2026 prepared remarks
- Meta Q2 2026 earnings-call archive

- Meta Q1 2026 call transcript
- Reuters, July 29, 2026: capex and cash-flow reaction

Additional primary sources reviewed: Muse launch, September 8, updated September 30; Connect, September 24; Muse for small business, September 29; official subscription plans; full Q2 call transcript; full Q1 call transcript. Both full calls were reviewed, including Q&A. The full supplied Deutsche Bank report and primary originals are retained in the evidence archive. The bank source is dated September 25 even though its supplied filename says September 28.

The original artifact displayed the former Q3 2027 active horizon. Comparing that old $912 headline with the current Q4 2027 ceiling would mix a horizon roll with an economic update. The like-for-like change is $961.02 to $960.25. No portfolio Base override, valuation multiple, share schedule or X article was changed by this review.